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UPI Merchant Discount Rate (MDR): Will It Affect UPI Usage?



The reintroduction of the Merchant Discount Rate (MDR) on select UPI transactions has raised questions about its impact on digital payment usage. This article examines the scope of MDR, its implications for merchants and users, and its role in strengthening the UPI ecosystem and digital payments infrastructure.

UPI Merchant Discount Rate (MDR): Will It Affect UPI Usage?

Syllabus Areas:

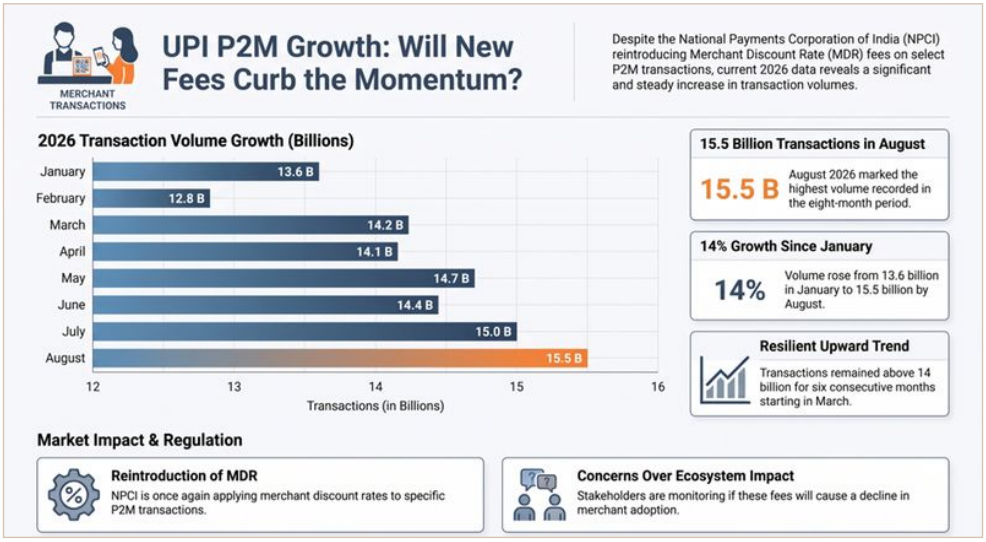
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The National Payments Corporation of India (NPCI) has reintroduced the **Merchant Discount Rate (MDR)** on certain **Person-to-Merchant (P2M) UPI transactions**. The move has raised concerns about whether charging merchants could affect the volume and widespread use of UPI payments.

However, the majority of UPI transactions will continue to remain free, and the impact on overall transaction volumes is expected to be limited.



What is Merchant Discount Rate (MDR)?

Merchant Discount Rate (MDR) is a fee associated with digital payments made to merchants. Under the revised arrangement, the charge is applicable only to certain eligible P2M UPI transactions.

The fee is charged to **merchants and not consumers**. NPCI has also prohibited payment application providers from imposing additional platform fees on users.

Will MDR Affect UPI Transaction Volumes?

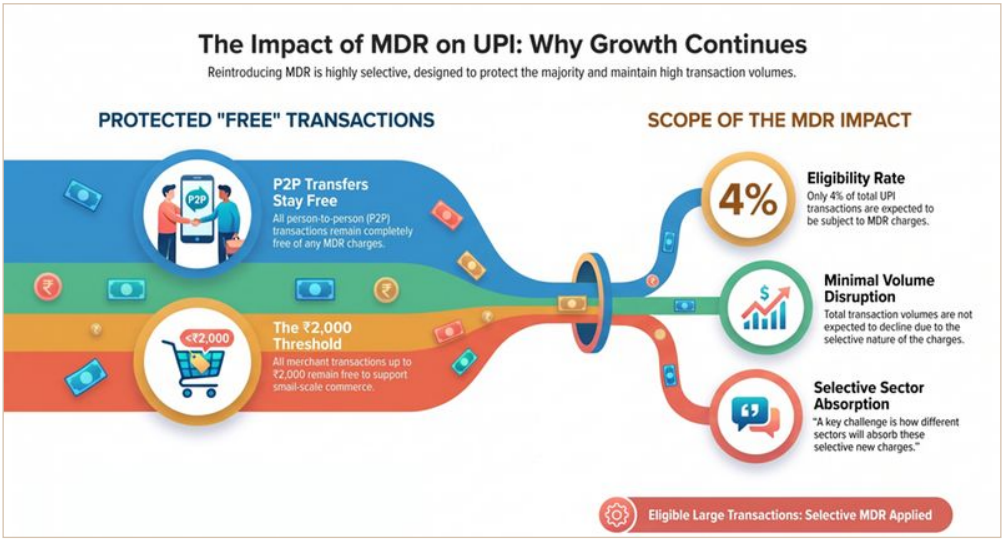
The reintroduction of MDR is not expected to significantly affect overall UPI transaction volumes because only around **4% of total UPI transactions** are expected to be eligible for the charge, according to the Finance Ministry.

The following transactions will continue to remain free:

- **All Person-to-Person (P2P) UPI transactions**
- **P2M UPI transactions of up to Rs. 2,000**

Since most transactions will not attract MDR, transaction volumes are expected to remain largely steady. However, some minor declines may occur in **high-value and active commercial transactions**, particularly as banks and payment service providers adjust their back-end processes.

The key issue will be how merchants and different sectors absorb the additional charges.



Which Other Payments Will Remain Free or Receive Relief?

Within P2M transactions, **small merchants receiving up to Rs. 1 lakh per month through UPI QR codes** will not be

charged MDR.

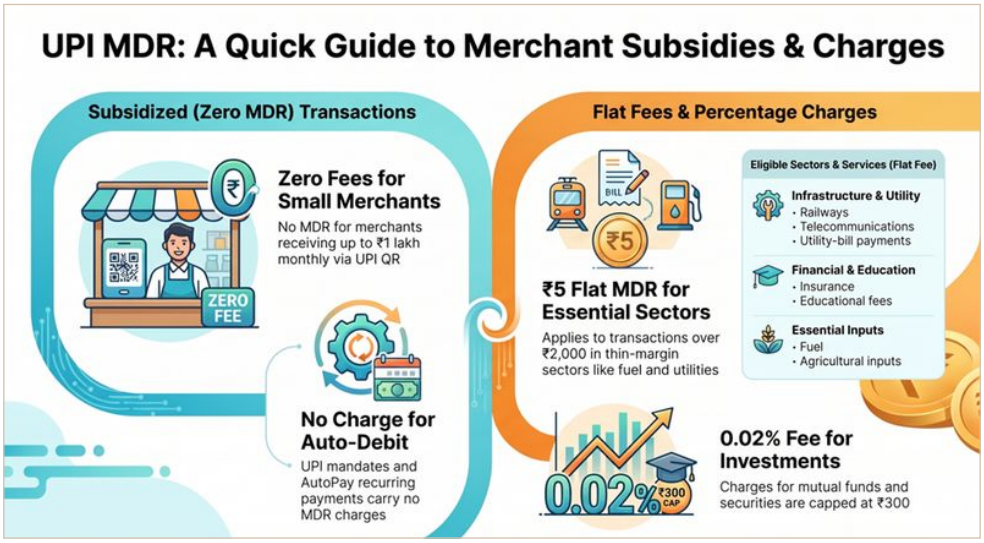
Similarly, **auto-debit recurring payments**, known as **UPI mandates or UPI AutoPay**, will not carry MDR charges.

For transactions above Rs. 2,000 in certain essential and thin-margin sectors, including:

- Railways
- Telecommunications
- Insurance
- Fuel
- Utility-bill payments
- Educational fees
- Agricultural inputs

a **flat MDR of Rs. 5 per transaction** will apply.

Payments related to **mutual funds, securities, stockbrokers and dealers** will attract an MDR of **0.02%**, subject to a maximum cap of **Rs. 300**.



How Can MDR Support the UPI Ecosystem?

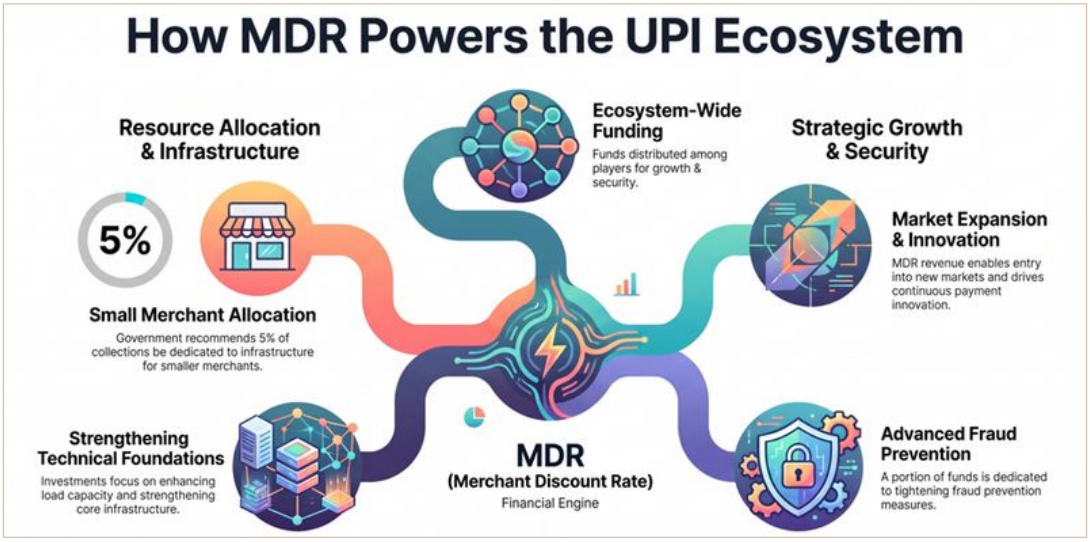
The MDR collected will be distributed among different players in the UPI ecosystem and can contribute towards the **growth and security of UPI**.

The government recommends allocating **5% of the collections towards infrastructure for smaller merchants**.

These measures are expected to help:

- Enable expansion into new markets
- Enhance load capacity
- Strengthen infrastructure
- Tighten fraud prevention
- Drive innovation

Thus, MDR can provide resources for maintaining and upgrading the infrastructure supporting the UPI ecosystem.

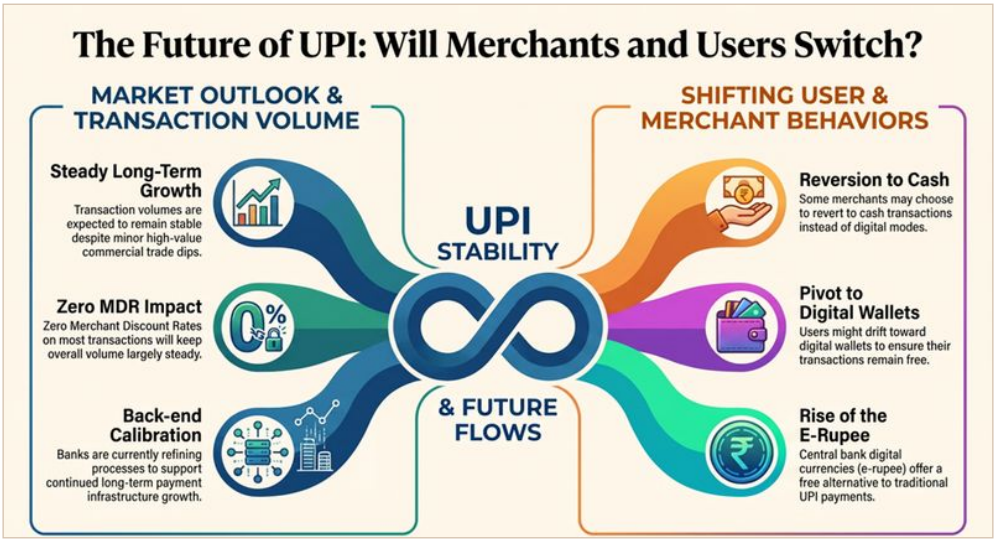


Could Merchants and Users Shift Away from UPI?

With the majority of UPI transactions continuing to face **zero MDR**, transaction volumes are likely to remain largely steady.

Some minor decline could occur in high-value commercial transactions, particularly while banks and payment service providers calibrate their systems. However, industry experts expect long-term growth to remain on track.

There is also a possibility that some merchants could return to **cash payments**. Users could potentially shift towards other payment methods, such as **digital wallets or the Central Bank Digital Currency (e-rupee)**, which continue to be free.



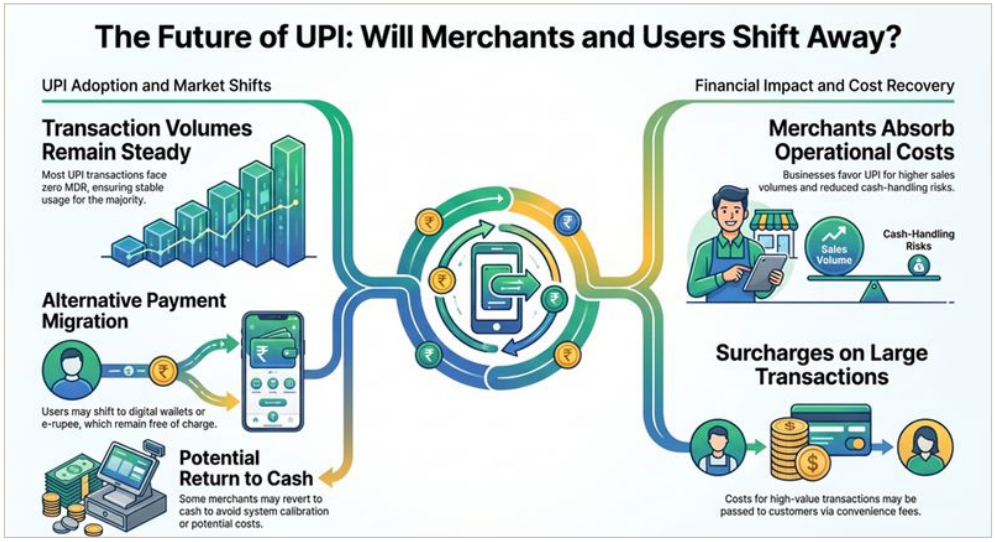
Will Consumers Have to Pay More?

At present, **MDR is charged to merchants rather than consumers**. Therefore, users are not directly required to pay the MDR.

Merchants generally absorb such operational costs because of the benefits associated with higher sales volumes and reduced cash-handling risks.

However, in the case of large transactions, merchants have historically passed on payment-related costs to customers through **surcharges or convenience fees**, as is seen with credit cards.

Whether merchants will adopt similar methods to recover MDR costs for large UPI transactions remains to be seen.



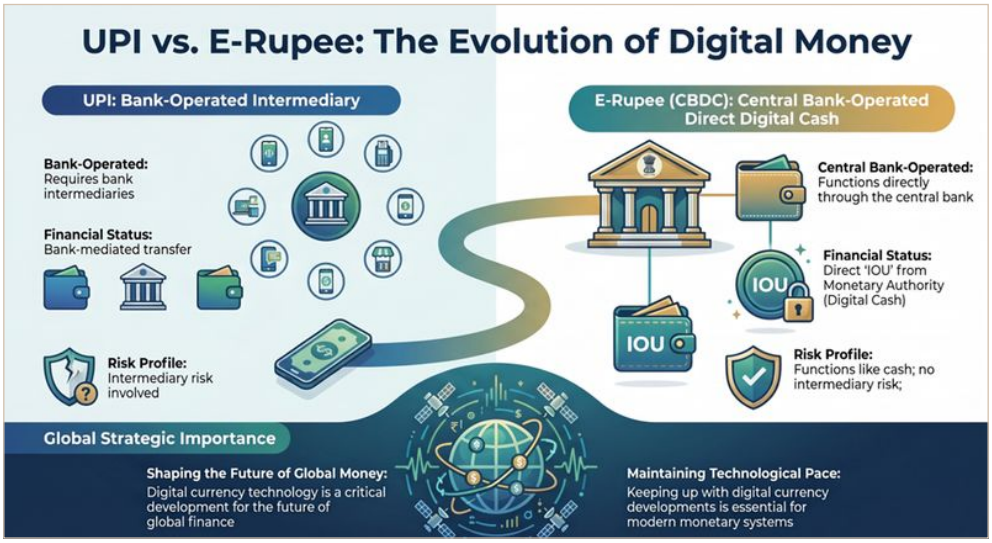
UPI and the E-Rupee

The reintroduction of MDR also comes at a time when the **Central Bank Digital Currency (CBDC), or e-rupee**, can be further popularised as an alternative digital payment mechanism.

While UPI provides a convenient payment mechanism, it operates through banks. In contrast, e-rupee wallets operated by the central bank could enable digital currency to function more like cash, without intermediary risk.

The e-rupee has the same financial status as an **"IOU" issued directly by the monetary authority**.

The underlying technology of digital currencies also has the potential to shape the future of money globally. Therefore, keeping pace with developments in digital currencies remains important.



Conclusion

The reintroduction of MDR represents a selective shift in the UPI payment ecosystem rather than a charge applicable to all UPI transactions. With **P2P payments and P2M transactions up to Rs. 2,000 remaining free**, the majority of users are not directly affected.

At the same time, MDR can provide financial resources for **UPI infrastructure, cybersecurity, fraud prevention and innovation**. The extent to which merchants absorb these costs or pass them on through other charges will determine its broader effect on the UPI ecosystem.